



Managing in the Global Economy

Chapter 4 | Principles of Management

Borges, Lee, Ramasamy et al. (2023)

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Overview of Globalization



Globalization refers to the increasing economic integration and interdependence of national economies.

Economic Integration: Seamless flow of goods, services, and capital across borders.

Multinational Operations: Firms operating in multiple countries to leverage global resources.

Interconnectedness: Decisions in one region impact markets worldwide.



Drivers of Global Economy



Technology

Advances in ICT and transport reduce costs and enable real-time global coordination.



Liberalization

Reduction of trade barriers and tariffs through international agreements and WTO.



Convergence

Consumer tastes and market demands are becoming more similar across different nations.

PESTLE Analysis in Global Context

Factor	Global Management Focus
Political	Government stability, trade regulations, and geopolitical risks.
Economic	Exchange rates, inflation, and GDP growth across regions.
Social	Cultural norms, demographics, and consumer behavior shifts.
Legal	International law, intellectual property, and labor standards.

Hofstede's Cultural Dimensions



Power Distance: Acceptance of unequal power distribution in society.



Individualism: Preference for loose vs. tight social frameworks.



Uncertainty Avoidance: Degree of comfort with ambiguity and risk.



Masculinity: Achievement and competition vs. quality of life.

Power Distance & Individualism

High

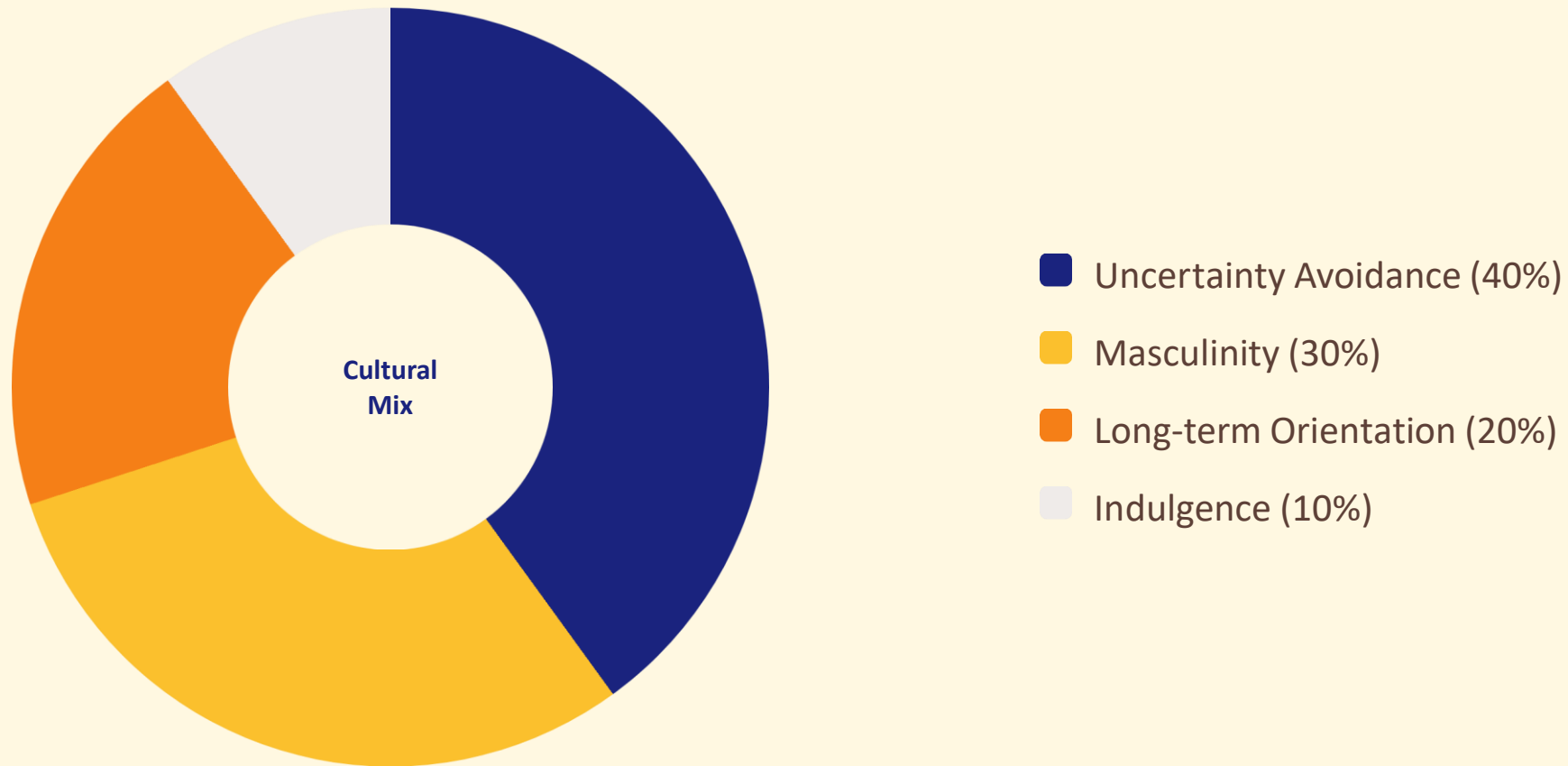
Power Distance

Indiv

vs Collectivism

Managers must adapt leadership styles: High PD requires hierarchy; Individualism values personal initiative.

Uncertainty Avoidance & Masculinity



Global Entry Strategies

Strategy	Risk Level	Control Level
Exporting	Low	Low
Licensing/Franchising	Medium	Moderate
Joint Ventures	High	Shared
Wholly-owned Subsidiary	Very High	Full

Challenges in Global Management



Cultural Clashes: Misunderstandings in communication and work values.

Political Risks: Changes in government policy or civil unrest.

Economic Volatility: Currency fluctuations affecting profitability.

"Success in the global economy requires a balance of global efficiency and local responsiveness."

— Principles of Management, 2nd Edition

Effective global managers must be culturally intelligent and strategically flexible.